MSFT - MSFT
Free Cash Flow & DCF Analysis Report

Analysis Date: September 29, 2025
Current Share Price: $511.46

Executive Summary

Key Investment Metrics

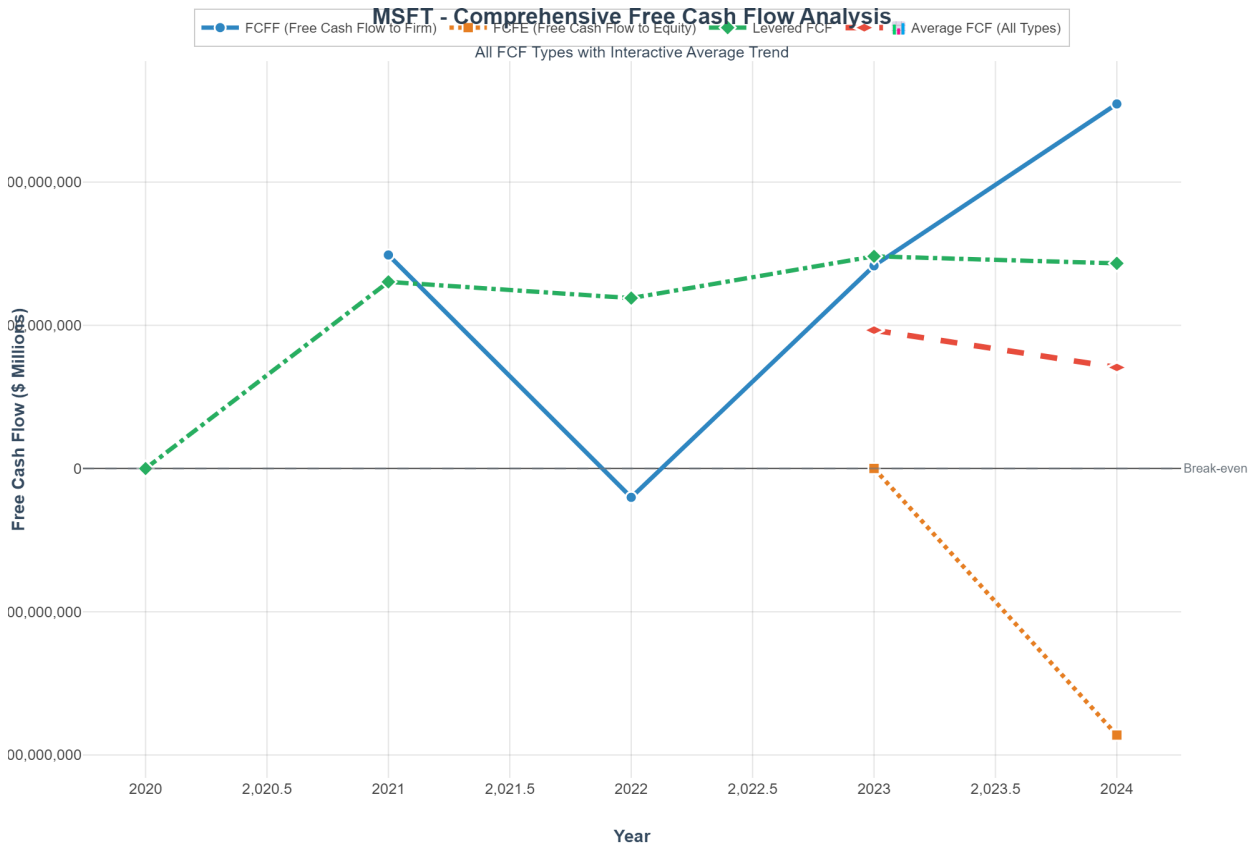
Metric	Value	Assumption/Source
FCF Methodology	FCFE	User Selection
Growth Rate (Yrs 1-5)	5.0%	Historical Analysis + User Input
Discount Rate (WACC)	10.0%	User Assumption

Free Cash Flow Analysis:
FCFF: $127266532990.4M (YoY: +79.8%)
FCFE: $-93051000000.0M (YoY: +0.0%)
LFCF: $71611000000.0M (YoY: -3.3%)

DCF Valuation:
Fair Value per Share: $-197436755.03
Enterprise Value: $-1467580225806.6M

Free Cash Flow Analysis

FCF Comparison



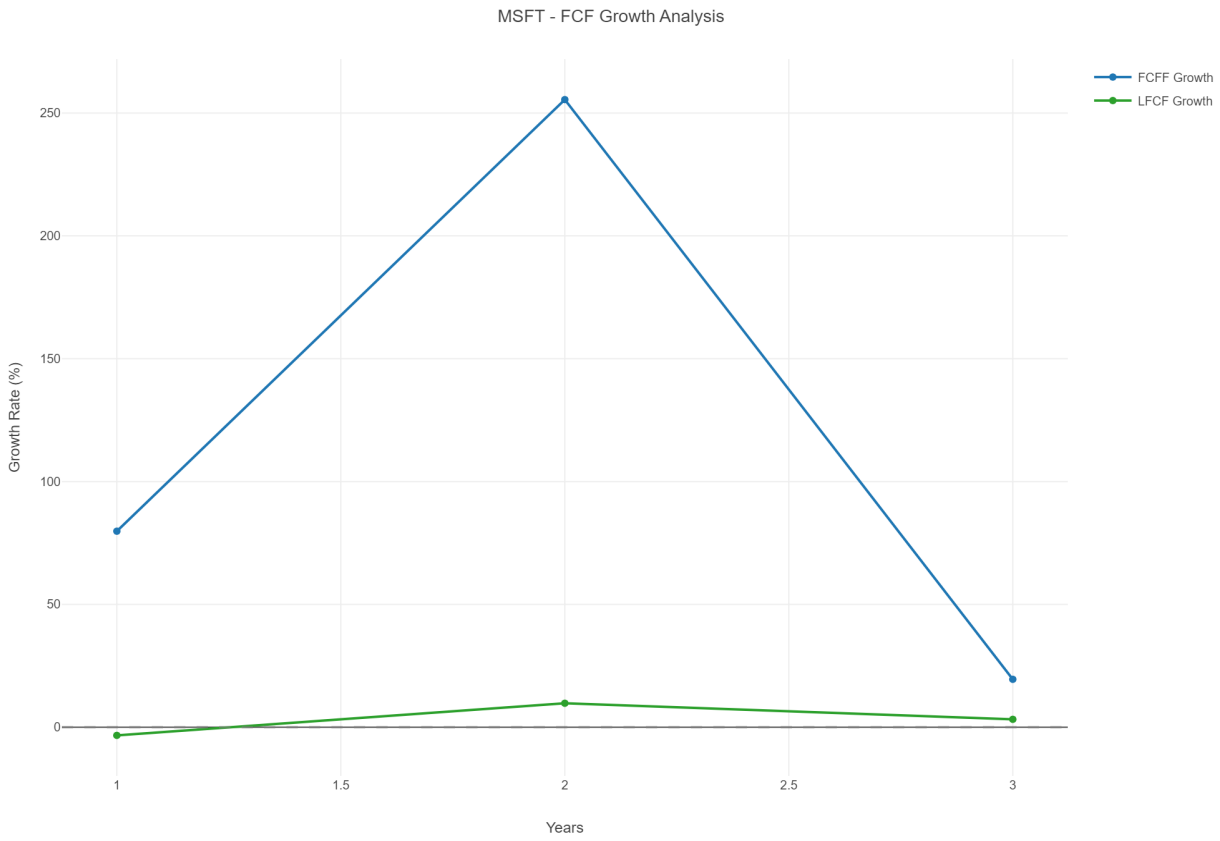
Growth Rate Analysis

FCF Type	1yr	2yr	3yr	4yr	5yr	6yr	7yr	8yr	9yr
LFCF	-3.3%	9.7%	3.2%	N/A	N/A	N/A	N/A	N/A	N/A
FCFE	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
FCFF	79.8%	-255.5%	19.5%	N/A	N/A	N/A	N/A	N/A	N/A
Average	-26.9%	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

FCF Historical Data

Year	FCFF ($M)	FCFE ($M)	LFCF ($M)	Average FCF ($M)
2020	N/A	N/A	0.0	0.0
2021	74530470901.6	N/A	65149000000.0	69839735450.8
2022	-10072499345.0	N/A	59475000000.0	24701250327.5
2023	70783910564.4	0.0	74071000000.0	48284970188.1
2024	127266532990.4	-93051000000.0	71611000000.0	35275510996.8

FCF Growth Trend Analysis



DCF Valuation Analysis

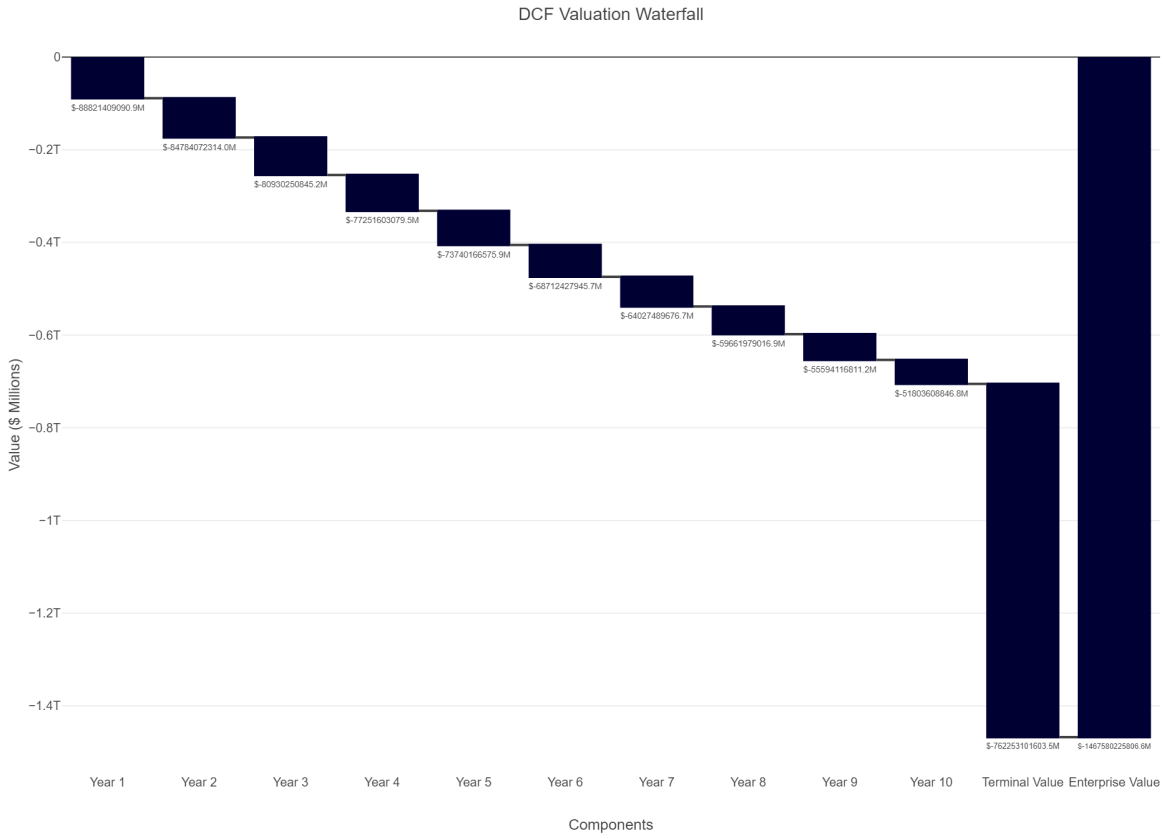
Valuation Summary

Metric	Value
Enterprise Value	$-1467580225806.6M
Fair Value per Share	$-197436755.03
Terminal Value	$-1977088234971.8M
Present Value of FCF	$0.0M

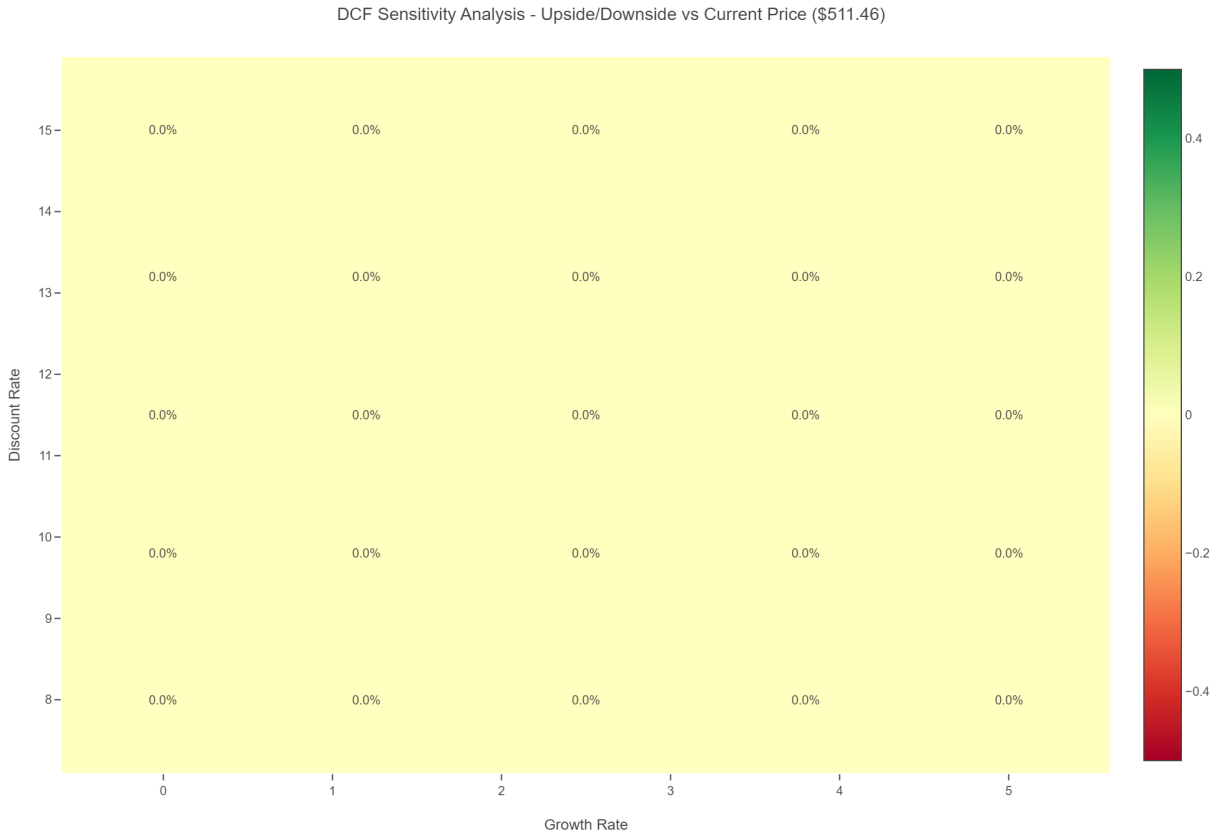
Fair Value vs Market Price

Metric	Value
Current Market Price	$511.46
DCF Fair Value	$-197436755.03
Upside/(Downside)	**-38602679.9%**

DCF Valuation Breakdown



Sensitivity Analysis


DCF Sensitivity Analysis - Upside/Downside vs Current Price ($511.46)
Discount Rate
15
14
13
12
11
10
9
8
0.0%
Growth Rate
0
1
2
3
4
5
0.4
0.2
0
−0.2
−0.4

User Assumptions & Investment Decisions

DCF Model Assumptions

Parameter	Value	Rationale/Source
Growth Rate (Years 1-5)	5.0%	Based on 5-year historical average with user adjustment
Growth Rate (Years 6-10)	2.5%	Conservative long-term growth assumption
Terminal Growth Rate	3.0%	Long-term GDP growth assumption
Discount Rate (WACC)	10.0%	Weighted Average Cost of Capital estimate
FCF Methodology	FCFE	Free Cash Flow to Equity - represents equity value directly
Projection Period	10 years	DCF projection horizon selected by user

Sensitivity Analysis Configuration

Parameter	Range	Purpose
Discount Rate Range	8.0% - 15.0%	Test valuation sensitivity to cost of capital assumptions
Growth Rate Range	0.0% - 5.0%	Test valuation sensitivity to growth assumptions

Investment Decision Rationale

Investment Thesis:
DCF valuation using FCFE with 10-year horizon. Growth rates based on historical analysis and forward-looking assumptions. Fair value comparison vs current market price of $511.46.

Key Assumptions Rationale:
Selected FCFE methodology for 10-year projection period. Growth assumptions: Years 1-5 at 5.0%, Years 6-10 at 2.5%, Terminal at 3.0%. Discount rate (WACC) set at 10.0% reflecting cost of capital assumptions.

Risk Factors Considered:
Market volatility, competitive dynamics, economic conditions, and company-specific operational risks. Default sensitivity ranges used.

Model Validation

Historical Performance Check:

- Growth assumptions compared against 1, 3, 5, and 10-year historical averages
- FCF methodology selected based on company characteristics and data availability
- Discount rate benchmarked against industry and market conditions

Reasonableness Tests:

- Terminal growth rate not exceeding long-term GDP growth
- Discount rate reflecting appropriate risk premium
- Growth rates declining over time to sustainable levels

Appendix: DCF Assumptions & Methodology

DCF Assumptions Used

Parameter	Value
Discount Rate	10.0%
Terminal Growth Rate	3.0%
Growth Rate Yr1 5	5.0%
Growth Rate Yr5 10	2.5%
Projection Years	10
Fcf Type	FCFE

Methodology

FCF Calculation Methods:
• FCFF (Free Cash Flow to Firm): EBIT(1-Tax Rate) + D&A; - Working Capital Change - CapEx
• FCFE (Free Cash Flow to Equity): Net Income + D&A; - Working Capital Change - CapEx + Net Borrowing
• LFCF (Levered Free Cash Flow): Operating Cash Flow - CapEx

DCF Valuation:
• Projects future free cash flows based on historical growth trends
• Calculates terminal value using Gordon Growth Model
• Discounts all cash flows to present value using weighted average cost of capital
• Adjusts enterprise value for net debt to derive equity value per share

Sensitivity Analysis:
• Tests valuation sensitivity to changes in growth rate and discount rate assumptions
• Provides upside/downside scenarios relative to current market price